

Political Capture and Bureaucratic Behaviour: Evidence from Mafia-Infiltrated Municipalities

Carreri, Cippulo, Le Moglie, Perego

Discussant comments from Chenoa Yorgason

Summarizing

- ▶ Q: Do bureaucracies resist or become instruments of (illicit) capture?
- ▶ A: Bureaucracies resist capture
- ▶ Impressive data from Italian municipal governments
 - ▶ Matching: ML estimates of mafia infiltration risk
 - ▶ Indep Var: Dissolution of local elected officials
 - ▶ Dep Var: Delayed payments
 - ▶ Mechanism: LLM-processed reports on investigation findings

Construction of mafia infiltration risk

- ▶ Treated units are paired with untreated units based on similar levels of mafia infiltration risk
- ▶ Meant to interpret high # = likely (true) mafia city
- 1. More discussion in the paper about the construction of this index: inputs, correlations, potential bias
 - ▶ SSRN Campedelli, Daniele, Le Mogie report 44 raw vars, based entirely on public spending and politics
- 2. Validation that risk is well-calibrated + are similar in observables across the distribution
- 3. Treated = confirmed mafia capture; controls (especially at the lower end) contain some uncertainty

Effects flow through resistance

- ▶ Tab 4 breaks out results by cities that indicated resistance from bureaucracies → results fully flow through cities with resistance
- ▶ Sometimes written as resistance is the common mechanism, and that this is the default mechanism that will be taken up by bureaucracies, when it's big effects from a minority
- ▶ This is partially just a writing/interpretation change
- ▶ Why do bureaucrats in some cities resist and others do nothing/cooperate?
 - ▶ Relationship b/w resistance → investigation
 - ▶ differences b/w propensities in resisting cities?
 - ▶ Are bureaucrats resisting illegal tasks? Directly measure dissolved*corruption in procurement practices
 - ▶ Lack of reported resistance $\neq$ no mention in report: relationship b/w report year, report length, and detail (longer report + equiv baseline for each "incident" to be reported as resistance = higher rate for later events → later dissolutions draw effect)

- ▶ Incentives for mafia related council members to delay certain payments? Or are bureaucrats harming the economy by delaying legitimate payments due to low morale? Or are bureaucrats doing the just thing and resisting corrupt payments? observationally equiv
- ▶ Bureaucratic roles beyond payment processing?
- ▶ What role can dissolution/new commissioners have on budget and payments? future budgets, composition/complication of spending
- ▶ New reformist local elected officials ($t+3$) vs resistance from bureaucrats